

The Commodities Feed: Markets whipsaw amid re-escalation in Persian Gulf

After a large selloff on Friday, energy markets are stronger this morning as tensions in the Persian Gulf build once again



Energy- Strait of Hormuz hopes fade

Oil prices are being whipsawed by developments in the Middle East once again, with what appears to be de-escalation quickly turning to re-escalation. Iran's announcement that it would allow commercial vessels to transit the Strait of Hormuz led to an aggressive pullback in oil and gas prices on Friday; ICE Brent fell as much as 13% at one point. The announcement also saw a pickup in vessels transiting the Strait of Hormuz. According to Bloomberg data, 11 tankers crossed the Strait of Hormuz on Saturday, the highest since the beginning of the war.

However, developments over the weekend suggest the thaw has been short-lived, with Brent opening stronger this morning. Iran reimposed its restrictions on the Strait of Hormuz after the US kept its blockade in place. After the US seized an Iranian-flagged vessel, there will be doubts over planned peace talks.

The US is sending negotiators to Pakistan for peace talks today. Iran, however, has said it doesn't plan to take part in talks. This is a concern as the two-week ceasefire nears an end. It opens the door to further escalation in the Persian Gulf and higher oil and gas prices.

Hopes for de-escalation led speculators to reduce their net long in ICE Brent. Speculators sold 50,858 lots over the last reporting week, leaving them with a net long of 373,412 lots as of last Tuesday. The move was primarily driven by longs liquidating, with holders of these positions selling 38,214 lots. The sharp, rapid swings in the market are creating a challenging environment for participants.

Metals – Aluminium volatility persists

LME aluminium prices fell by over 5.5% at one point on Friday after Iran announced it would keep the Strait of Hormuz open during a 10 day ceasefire between Israel and Hezbollah. The move briefly fuelled optimism for de-escalation. The critical route for global aluminium trade had been closed since late February following US and Israeli strikes on Iran. Prices climbed to a four year high last week amid supply disruptions.

However, the Strait was closed again over the weekend, highlighting the fragility of the ceasefire and keeping geopolitical risks firmly in focus. The region accounts for roughly 9% of global aluminium production. It's a key supplier to Europe, leaving the market highly exposed to renewed disruptions. As outlined in [our latest note](#), the shock is no longer just logistical. Aluminium has moved into a structural deficit, with risks skewed to the upside if disruptions persist. Disruptions at Emirates Global Aluminium's Al Taweelah smelter, reduced output at Alba, and earlier curtailments at Qatalum could remove nearly 3 mtpa of capacity, almost half of Middle East production. This would potentially widen the global supply deficit to 2Mt. Given the difficulty of restarting smelting capacity, tight supply conditions are likely to continue supporting aluminium prices despite near term volatility.

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@ing.com

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial

Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.